

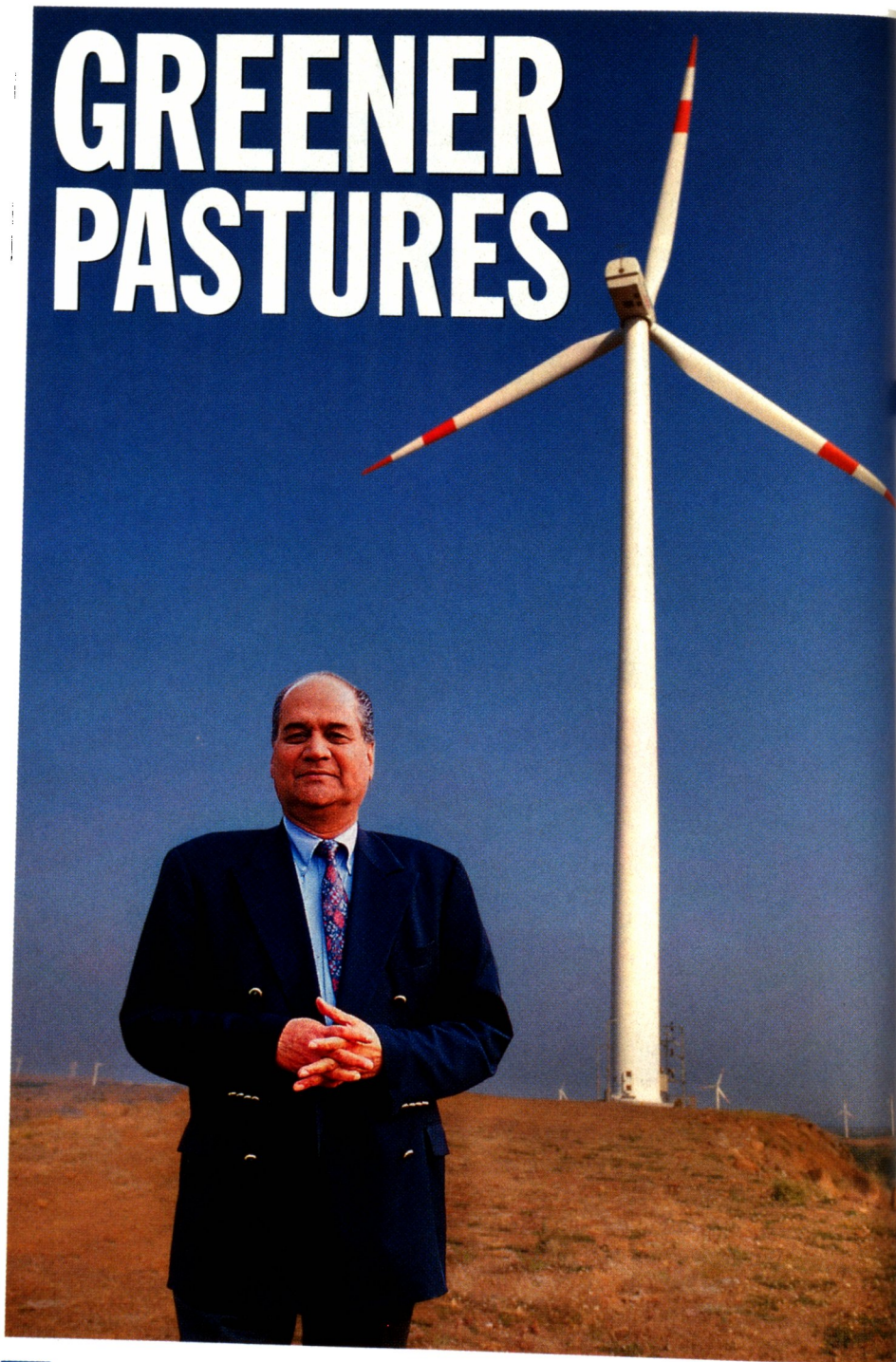
Environmental concerns and corporate social responsibility apart, going green also has high business potential in power-starved India

■ By Nandini Vaish

Bajaj Auto Chairman Rahul Bajaj is a pioneer, and not just in two-wheelers or management practices. A wind power generation system that he developed in 2000 caters to around 90 per cent of the energy needs of three of his factories today and saves him around Rs 25 crore in power costs per year. For Bajaj, the Rs 300-crore investment made in the wind power project has proved rather fruitful. With income-tax benefits and 100 per cent depreciation in the first year, the company recovered its money within three years of investment itself. Moreover, it has ensured a natural hedge against rising energy costs—for 15-20 years—in keeping with the lifespan of a windmill. "The return on investment is in excess of 20 per cent per year and that's if the price of energy doesn't go up," says Sanjiv Bajaj, executive director, Bajaj Auto.

Volatile oil prices and severe power shortages are forcing many industrialists to follow Bajaj's footsteps. Beyond environmental concerns and a sense of corporate social responsibility, going green is also proving to be a high-potential business. In India, unconventional energy meets just 5 per cent of the total power requirement, but existing players are ramping up capacities while many others are looking to enter the fray in a big way—from wind power and solar energy to bio-mass and bio-fuels. Wind power is clearly the most attractive option. The Anil Ambani-owned Reliance Capital, for instance, picked up a stake in wind turbine maker NEPC for Rs 96 crore in 2006. Similarly, C. Sivasankaran-promoted Sterling Infotech Group, which recently entered the wind power business, plans to set up ethanol facilities in India and North America. The Essar Group too is firming up its plans. While manufacturers like Bajaj cater largely to their own consumption, others are buying wind turbines to sell power to state electricity boards which could yield returns of 13-18 per cent per

GREENER PASTURES



"We produce power as Maharashtra needs it. We get benefits too."

RAHUL BAJAJ, CHAIRMAN, BAJAJ AUTO

WIND POWER saves the company Rs 25 crore in annual power costs.

annum. Many states have also made it mandatory for utilities to buy a certain amount of power from renewable sources, which could explain Reliance Capital's NEPC investment.

Suzlon, India's largest and the

world's fourth largest wind turbine maker, entered the field in 1995 after promoter Tulsi Tanti realised that rising power bills were eating into the margins of his textile business. Today, Suzlon, with its overseas acquisitions—REpower and Hansen—is growing at a combined annual growth rate (CAGR) of 103 per cent with revenues of Rs 2,500 crore. Its profits have more than doubled from Rs 365 crore in 2005 to Rs 864 crore in 2007. Among the others reaping the benefits of overseas ac-